Local Projections

Short-course reading list

Weining Wang and Xiyu Jiao
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How to use this list

The 17 references below follow the short course from identification to policy applications. **Core** marks the six readings closest to the course's main arguments; **Optional** marks background, technical extensions and examples. These are suggested priorities, not a requirement to read every paper before attending. Numbers refer to the annotated entries on pages 2–4. Publication links and working-paper versions are distinguished.

A short route through the core readings

1. **Start with the overview:** Jordà and Taylor (2025), **[2]**. Read the introduction and the discussion of identification; use the rest as a reference.
2. **Understand external instruments:** Stock and Watson (2018), **[4]**. Focus on relevance, dynamic exclusion and the role of invertibility.
3. **Distinguish marginal from finite effects:** Gonçalves et al. (2024), **[9]**. Focus on the causal target and the mechanism determining the state.
4. **Connect to the course model:** David et al. (2026), **[7]**. Read the introduction, identification conditions and the firm-investment application; return to the inference theory after the course.
5. **Interpret nonlinear-system LPs:** Kolesár and Plagborg-Møller (2025), **[8]**. Focus on which causal average a regression coefficient recovers.
6. **Separate inference from identification:** Montiel Olea and Plagborg-Møller (2021), **[11]**. Focus on the lag-augmentation argument and its scope.

Readings by course session

Session	Reading priorities
Welcome and overview	[2]; foundational LP paper [1]
Identification	[4]; [3], [5], [6]; monetary designs [13]–[15]
State-dependent responses	[7]–[9]; policy relevance [10]; fiscal examples [16], [17]
Estimation and inference	[7], [11]; smoothing across horizons [12]
R practical and discussion	Course handout and code; revisit the identification checklist

Course companions. The comprehensive identification notes contain derivations and worked checks. The participant pack contains the R exercise and this reading list. All course materials are in Short_course.

Foundations and identification

[1] The original LP method

Optional: foundation

Jordà, Ò. (2005). Estimation and Inference of Impulse Responses by Local Projections. *American Economic Review* 95(1), 161–182. Published article.

Why read it? Introduces direct estimation at each response horizon. Establish the regression framework first, then ask which separate assumptions give the coefficient a causal interpretation.

[2] A broad practitioner overview

Core

Jordà, Ò. and A. M. Taylor (2025). Local Projections. *Journal of Economic Literature* 63(1), 59–110. Published article; 2024 working-paper version.

Why read it? The best starting point for the course's range of topics. Use the identification discussion to distinguish a regression specification from the economic source of exogenous variation.

[3] LP and VAR population estimands

Optional: technical

Plagborg-Møller, M. and C. K. Wolf (2021). Local Projections and VARs Estimate the Same Impulse Responses. *Econometrica* 89(2), 955–980. Published article; Author PDF.

Why read it? Explains population equivalence with unrestricted lag structures. Useful for separating the choice of estimator from the restrictions identifying the structural shock. Finite-lag and finite-sample differences remain relevant.

[4] External instruments and LP-IV

Core

Stock, J. H. and M. W. Watson (2018). Identification and Estimation of Dynamic Causal Effects in Macroeconomics Using External Instruments. *Economic Journal* 128(610), 917–948. Published article; Author PDF.

Why read it? Read for instrument relevance, dynamic exclusion and response normalisation. Check the conditions behind the no-invertibility result rather than assuming every LP-IV specification enjoys it.

[5] Dynamic potential outcomes

Optional: technical

Rambachan, A. and N. Shephard (2025 revision). *When do common time series estimands have nonparametric causal meaning?* Working paper, arXiv:1903.01637v4, 22 January 2025; first version 2019. Versioned paper.

Why read it? Provides a potential-outcome framework for linking predictive time-series estimands to dynamic causal effects. Especially useful when defining the intervention, conditioning information and continuation of future policy.

[6] Residualising shocks versus adding controls

Optional: implementation

Lloyd, S. and E. Manuel (2024). *Controls, not shocks: estimating dynamic causal effects in macroeconomics.* Bank of England Staff Working Paper 1079. 2024 working-paper page.

Why read it? Clarifies when two-step shock construction and one-step adjustment agree, and why changes in controls, samples or estimation methods matter. The citation here refers specifically to the 2024 version.

State dependence, nonlinear effects and inference

[7] The course manuscript

Core

David, J. M., R. Giacomini, X. Jiao and W. Wang (2026). *Causal State-Dependent Local Projections in Micro-Macro Data*. Manuscript dated 8 November 2026. Course manuscript.

Why read it? Connects causal exogeneity, innovation orthogonality and an affine response in the shock to the state-dependent finite-shift target. Also covers flexible estimation, common-shock inference and the firm-investment application.

[8] Causal interpretation under nonlinearity

Core

Kolesár, M. and M. Plagborg-Møller (2025). Dynamic Causal Effects in a Nonlinear World: the Good, the Bad, and the Ugly. *Journal of Business & Economic Statistics* 43(4), 737–754. Published article; Author version.

Why read it? Shows how conventional observed-shock or proxy estimands can retain a weighted causal interpretation under suitable assumptions. Distinguish such marginal-effect averages from the effect of a specified finite intervention.

[9] State mechanisms and shock size

Core

Gonçalves, S., A. M. Herrera, L. Kilian and E. Pesavento (2024). State-dependent local projections. *Journal of Econometrics* 244(2), 105702. Published article; Author PDF.

Why read it? Studies how finite versus infinitesimal response identification depends on the state mechanism. Compare the maintained model with [7]; a state depending on past shocks is not, by itself, a universal invalidity result.

[10] From weighted effects to policy relevance

Optional: discussion

Kitagawa, T., W. Wang and M. Xu (2025). Nonlinearity in Dynamic Causal Effects: Making the Bad into the Good, and the Good into the Great? *Journal of Business & Economic Statistics* 43(4), 770–777. Published article; June 2025 author version.

Why read it? Discusses negative weights, restrictions on response shapes, time heterogeneity and policy choice. Use it to ask whether an identified causal average answers the intended policy question.

[11] Robust LP inference

Core

Montiel Olea, J. L. and M. Plagborg-Møller (2021). Local Projection Inference Is Simpler and More Robust Than You Think. *Econometrica* 89(4), 1789–1823. Published article; Author-paper record.

Why read it? Explains lag-augmented LP inference and robustness to persistence and long horizons. Its time-series result should not be treated as a ready-made justification for the course's state-uniform panel bands.

[12] Smoothing across horizons

Optional: estimation

Barnichon, R. and C. Brownlees (2019). Impulse Response Estimation by Smooth Local Projections. *Review of Economics and Statistics* 101(3), 522–530. Published article.

Why read it? Uses B-spline smoothing to improve impulse-response estimation. This smooths the response across horizons; the course's flexible state-response function uses a different dimension of smoothing. Neither supplies shock identification.

Policy applications and shock construction

[13] Narrative monetary-policy identification Optional: application

Romer, C. D. and D. H. Romer (2004). A New Measure of Monetary Shocks: Derivation and Implications. *American Economic Review* 94(4), 1055–1084. Published article.

Why read it? Combines narrative policy records and central-bank forecasts. Focus on why anticipated economic conditions must be distinguished from policy innovations. This is a shock-construction example, not an LP-specific identification theorem.

[14] High-frequency external instruments Optional: application

Gertler, M. and P. Karadi (2015). Monetary Policy Surprises, Credit Costs, and Economic Activity. *American Economic Journal: Macroeconomics* 7(1), 44–76. Published article.

Why read it? Uses high-frequency surprises as external instruments in a monetary VAR. Compare the proxy's role with directly regressing outcomes on a measured surprise, and relate the design to LP-IV in [4].

[15] Predictable announcement surprises Optional: application

Bauer, M. D. and E. T. Swanson (2023). A Reassessment of Monetary Policy Surprises and High-Frequency Identification. *NBER Macroeconomics Annual*. Author's publication page and paper.

Why read it? Examines predictability from information available before announcements and the construction of monetary surprises. Useful for discussing information adjustment without equating statistical residualisation with a complete causal argument.

[16] Fiscal responses across regimes Optional: application

Auerbach, A. J. and Y. Gorodnichenko (2012). Measuring the Output Responses to Fiscal Policy. *American Economic Journal: Economic Policy* 4(2), 1–27. Published article.

Why read it? An influential regime-switching analysis motivating state-dependent fiscal multipliers. Use it as economic background and a comparison of modelling choices; it is not the same estimator as the course's flexible state-dependent LP.

[17] Historical fiscal multipliers and state dependence Optional: application

Ramey, V. A. and S. Zubairy (2018). Government Spending Multipliers in Good Times and in Bad: Evidence from US Historical Data. *Journal of Political Economy* 126(2), 850–901. Published article; Earlier working-paper record.

Why read it? Studies multipliers across slack and interest-rate states using historical US data. Compare shock identification, state definitions, samples and multiplier construction with [16] before interpreting differences in findings.

Questions to bring to the discussion

For one paper close to your application, identify the shock or instrument, the identifying restriction, the causal target and the relevant population. Then ask whether the reported response is marginal or finite, how future states and policy evolve, and which uncertainty statement the confidence interval actually supports.

Versions and access. Journal citations refer to published articles. Linked author versions may differ from the final publication. The course manuscript is fixed to 8 November 2026, and the two working papers [5] and [6] are identified by version. This list supplies references and links; it does not reproduce the articles.